

Summary for chapter 4 part 2:

B2B E-Commerce

1. One-from-Many: E-Procurement:

✓ What is buy-side e-marketplace?

- A corporate-based acquisition site that uses reverse auctions, negotiations, group purchasing, or any other e-procurement method.
- هو سوق الكتروني يستخدم المناقصات و المفاوضات وغيرها من طرق الشراء الالكتروني.

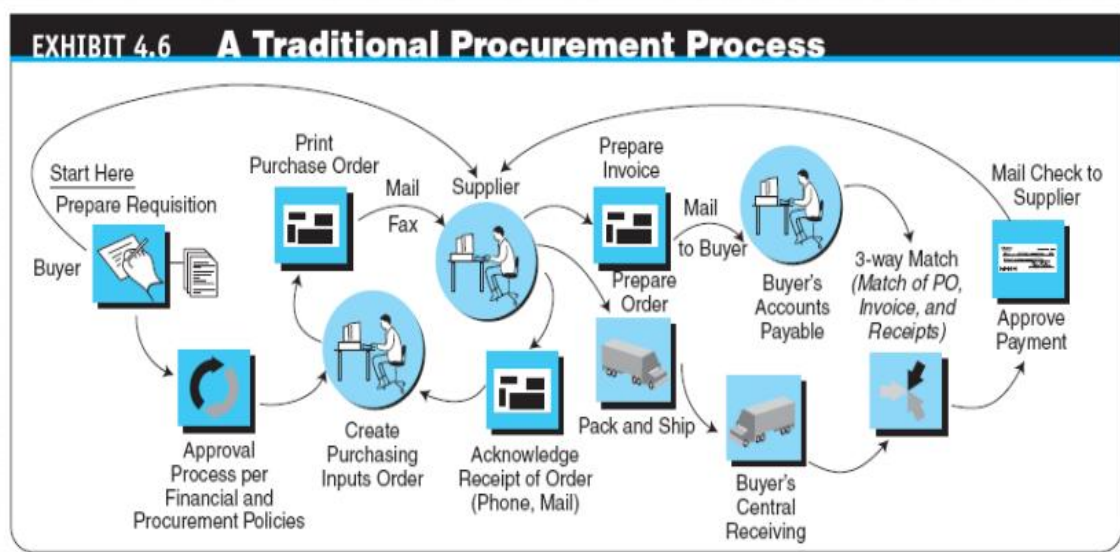
- **procurement management:** The planning, organizing, and coordinating of all the activities relating to purchasing goods and services needed to accomplish the organization's mission.

○ التخطيط والتنظيم للأنشطة شراء السلع والخدمات لاتمام مهمة او هدف المنظمة

- **maverick buying:** unplanned purchases of items needed quickly, often at non-renegotiated higher prices.

○ الشراء السريع بدون تخطيط للسلع الضرورية بسعر أعلي من الشراء من خلال المفاوضات.

- inefficiencies in traditional procurement management



✓ What is e-procurement (electronic procurement)?

- The electronic acquisition of goods and services for organizations via the Internet, EDI, etc.

✓ What are goals and process of e-procurement?

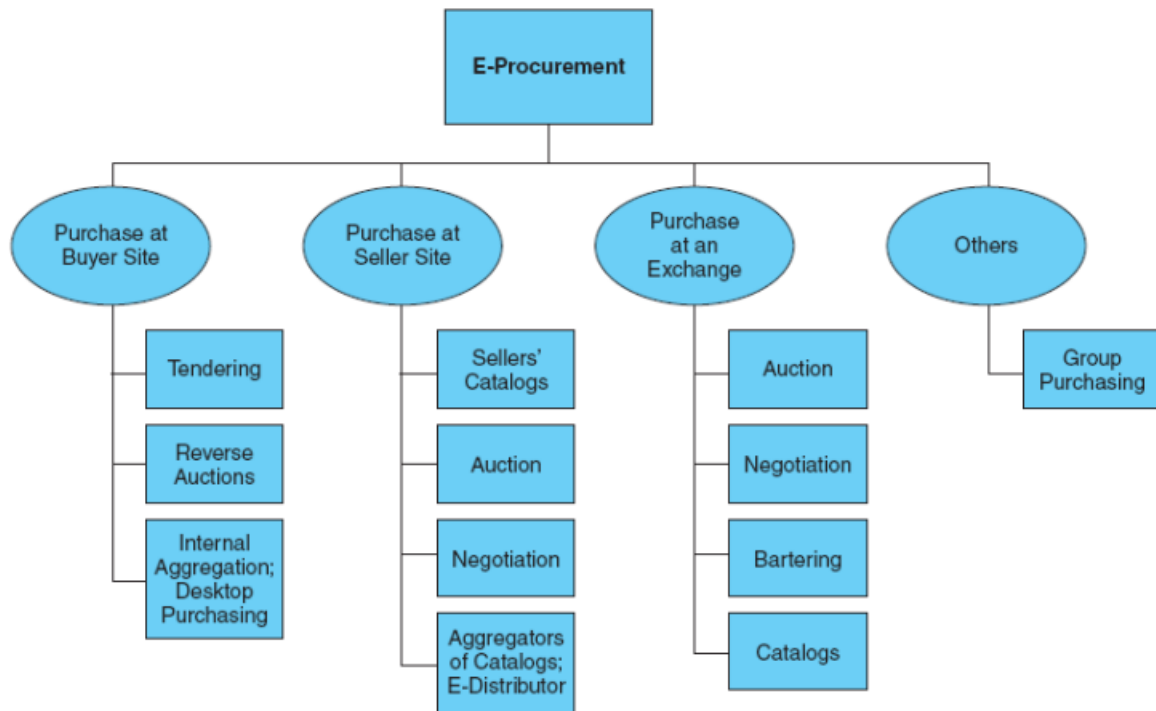
- e-procurement frequently automates activities in the purchasing process from multiple suppliers via the Web for better execution and control.

✓ What are Types of E-Procurement?

- E-sourcing
- E-tendering
- E-reverse auctioning

- E-informing
- Web-based ERP
- E-market sites
- E-MRO

2. what are E-procurement methods?



3. the benefits and limitations of e-procurement

✓ the benefits of e-procurement:

- Increasing the productivity of purchasing agents.
- Lowering purchase per item prices through activities such as product standardization, reverse auctions, and volume discounts.
- Reducing the frequency and cost of maverick buying.
- Improving the payment process.

✓ The Limitations and Challenges of E-Procurement:

- The technology may change frequently.
- It may be difficult to have internal and external integration (sometimes it involves different standards).
- The system may be too complex.
- It may be difficult to get suppliers to cooperate electronically.
- It may be subject to hacker attacks

4. Reverse Auctions at Buy-Side E-Marketplaces:

- ✓ request for quote (RFQ): The "invitation" to participate in a tendering (bidding) system.

✓ دعوة للمشاركة في المناقصة

- In B2B usage of a reverse auction, a buyer may open an e-market on its own server and invite suppliers this called RFQ.
- المشتري في المناقصة في ال b2b يمكن له فتح سوق الكتروني علي الخوادم الخاصة ويدعو الموردين فهذا يسمى RFQ

✓ conducting reverse auctions

✓ **E-Tendering by Governments**

bidding

- Most governments must conduct tendering when they buy or sell goods and services.

✓ **group reverse auctions.**

- To increase their bargaining power and get price discounts, companies, like individuals, **can buy in a group, and the group can use a reverse auction to get an even better deal than a quantity discount.**

- تقوم الشركات بالشراء في مجموعات مثل الافراد من خلال المناقصات لتحصل علي أسعار افضل وكمان تحقق وفورات الحجم الكبير.

5. Other E-Procurement Methods:

- ✓ **internal procurement marketplace:** the aggregated catalogs of all approved suppliers combined into a single internal electronic catalog.

✓ تجميع الكتالوجات الالكترونية للموردين المسموح لهم في كتالوج واحد

- ✓ **Desktop purchasing:** refers to purchasing by employees without the approval of supervisors and without the involvement of a procurement department.

✓ الشراء من خلال الموظفين بدون موافقة المشرفين أو قسم المشتريات.

- ✓ **group purchasing:** The aggregation of orders from several buyers into volume purchases so that better prices can be negotiated.

○ تجميع الطلبات داخل الشركة. Internal Aggregation of Purchasing Orders.

○ التجميع مع شركات اخري. External Aggregation for Group Purchasing.

- ✓ **buying at sellers' sites:** Purchasing Direct Goods

✓ **acquisition via electronic bartering**

- ✓ **bartering exchange:** An intermediary that links parties in a barter; a company submits its surplus to the exchange and receives points of credit, which can be used to buy the items that the company needs from other exchange participants. وسيط يربط الشركات او الاطراف في المقايضة بحيث ان الشركة بتعرض الفائض لديها للتبادل وتحصل في مقابل ذلك علي نقاط تشتري بها احتياجاتها من مشاركين آخرين.

6. B2B Exchanges: Definitions and Concepts:

✓ Functions of Exchanges

- Matching buyers and sellers
- Facilitating transactions
- Maintaining exchange policies and infrastructure

✓ ownership of b2b exchanges

- Third-Party Independent Marketplaces
- **consortium trading exchange (CTE)** :An exchange formed and operated by a group of major companies in an industry to provide industry-wide transaction services.

○ سوق للتبادل تم انشاء وتشغيل من خلال مجموعة من الشركات في صناعة معينة لتوفير خدمات المعاملات على مستوى الصناعة.

✓ dynamic pricing in b2b exchanges

- dynamic pricing :A rapid movement of prices over time and possibly across customers, as a result of supply and demand matching.

1. **B2B Portals and Directories:**

- ✓ **corporate (enterprise) portal**: A major gateway through which employees, business partners, and the public can enter a corporate website.

- ✓ **Types of Corporate Portals**

- Portals for Suppliers and Other Partners
- Customer Portals
- Employee Portals
- Executive and Supervisor Portals
- mobile portals
- Portals accessible via mobile devices, especially cell phones and PDA.

- ✓ **The Functionalities of Portals**

- information portals: Portals that store data and enable users to navigate and query these data.
- collaborative portals: Portals that allow collaboration.

2. **B2B In Web 2.0 and Social Networking**

- ✓ e-communities in b2b
- ✓ the opportunities of social commerce in b2b
- ✓ the use of web 2.0 tools in b2b

3. **B2B Internet Marketing**

- ✓ B2B marketing: Marketing by manufacturers and wholesalers along the sell-side of the supply chain.
- ✓ affiliate programs, market research, and data mining
 - affiliate programs
 - b2b market research

Put true or false

1. Maverick buying refers to the planning, organizing, and coordinating of all the activities pertaining to the purchasing of the goods and services necessary to accomplish the mission of an enterprise.
 - **False:** procurement management
2. Reverse auctions are one method of electronic procurement that is very popular with public organizations where tendering is usually mandatory.
 - True
3. Aggregating the catalogs of all approved suppliers and combining them into a single electronic catalog is an effective solution for internal procurement because it minimizes maverick buying.
 - True
4. Caltex, a multinational oil company, reduced the number of its suppliers from over 3,000 to 800 by implementing a central catalog for internal purchasing, lowering the per unit prices.
 - True
5. Exchanges can be vertical or horizontal.
 - True
6. A vertical portal is an exchange formed and operated by a group of major companies in an industry to provide industry-wide transaction services.
 - **False:** horizontal portal.
7. Dynamic pricing is the rapid movement of prices over time and possibly across customers, as a result of supply and demand matching.
 - True
8. Loss of customer service quality is a potential risk for buyers in B2B exchanges.
 - True
9. Potential gains for sellers in B2B exchanges include less maverick buying.
 - **False:** less maverick buying.
10. Corporate portals are major gateways through which employees, business partners, and the public can enter a corporate website.
 - True
11. Executive and supervisor portals are used for training, dissemination of company news, information, and discussion groups.
 - **False:** Executive and supervisor portals enable managers and supervisors to control the entire workforce management process.
12. Affiliate programs, infomediaries, and online data and text mining services are three popular B2B marketing and advertising methods.

- True
- 13. The marketing and advertising processes used for B2B and B2C are remarkably similar.
 - False: The marketing and advertising processes used for B2B and B2C are remarkably different.
- 14. Creating brand awareness is an advantage of B2B social networking.
 - True
- 15. Alibaba.com requires buyers to pay for sourcing.
 - False

Choice:

1. A Web-based marketplace in which one company sells to many business buyers from e-catalogs or auctions, frequently over an extranet, describes
 - a. sell-side e-commerce.
 - b. single-side e-commerce.
 - c. buy-side e-commerce.
 - d. reflective e-commerce.

Answer: A

2. Benefits of using a third-party hosting company for conducting B2B auctions instead of developing an auction site in-house include all of the following except
 - a. no hiring costs.
 - b. no redeployment of corporate resources.
 - c. time-to-market of several weeks.
 - d. no need for additional resources such as hardware, bandwidth, or IT personnel.

Answer: C

3. Companies use _____ to sell their unneeded assets for quick disposal or to dispose of excess, obsolete, and returned products.
 - a. private auctions
 - b. liquidation
 - c. reverse auctions
 - d. forward auctions

Answer: D

4. The planning, organizing, and coordinating of all the activities relating to purchasing goods and services needed to accomplish the organization's mission best defines
 - a. buy-side e-marketplace.
 - b. supply chain management.
 - c. procurement management.

d. customer relationship management.

Answer: C

5. Unplanned purchases of items needed quickly, often at non-prenegotiated higher prices, best defines
- a. impulse purchases.
 - b. free market.
 - c. MRO purchasing.
 - d. maverick buying.

Answer: D

6. The electronic acquisition of goods and services for organizations via the Internet or private network best defines
- a. e-procurement.
 - b. spot buying.
 - c. resource acquisition.
 - d. MRO planning.

Answer: A

7. Types of e-procurement include
- a. E-MRO.
 - b. E-market sites.
 - c. E-informing.
 - d. all of the above.

Answer: D

8. Gathering and distributing purchasing information both from and to internal and external parties using Internet technology best defines
- a. e-tendering.
 - b. e-informing.
 - c. e-sourcing.
 - d. e-MRO.

Answer: B

9.) E-procurement benefits include each of the following except
- a. reducing the number of suppliers.
 - b. ensuring delivery on time, every time.
 - c. ease of internal and external integration.
 - d. improving information flow and management.

Answer: C

10. Which of the following is the unplanned, emergency-type buying where buyers usually pay more?

- a. maverick buying
- b. spot buying
- c. impulse purchasing
- d. extreme purchasing

Answer: A

- 11.) Advantages of using internal catalogs include
- a. decreasing the number of suppliers.
 - b. easy financial controls.
 - c. using search engines to look through internal catalogs.
 - d. all of the above.

Answer: D

12. The aggregated catalogs of all approved suppliers combined into a single internal electronic catalog defines
- a. bartering exchange.
 - b. buy-side e-marketplace.
 - c. ~~sell-side e-marketplace.~~
 - d. internal procurement marketplace.

Answer: D

13. Direct purchasing from internal marketplaces without the approval of supervisors and without the intervention of a procurement department best defines
- a. ~~spot buying.~~
 - b. desktop purchasing.
 - c. maverick buying.
 - d. renegade purchasing.

Answer: B

14. Marketing by manufacturers and wholesalers along the sell-side of the supply chain best defines
- a. B2C marketing.
 - b. B2B marketing.
 - c. M2W marketing.
 - d. M2B purchasing.

Answer: B